ACCOUNTING POLICY PAPER
TRANSITION APPROACH

SOCIAL HEALTH AUTHORITY

22nd May 2026

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IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation, and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the entity's financial position, financial performance, and cash flows.

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ABBREVIATIONS & DEFINITIONS

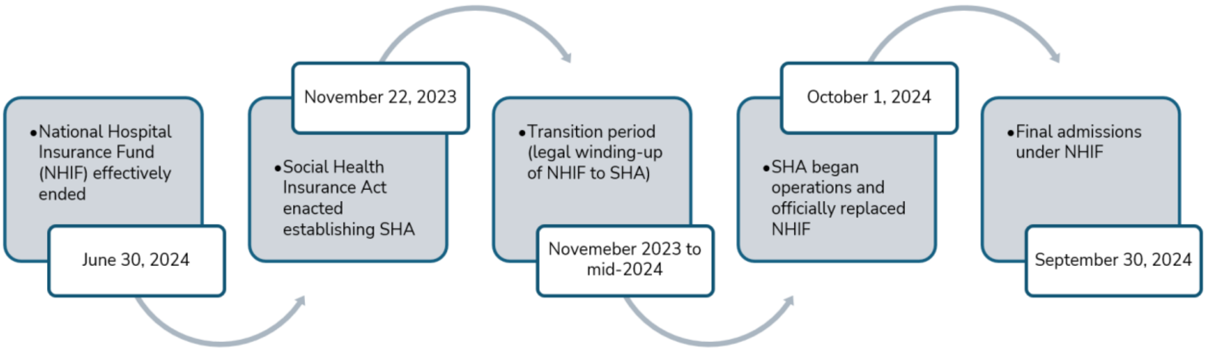
NAME	DEFINITION
CSM	Contractual Service Margin
ECCF	Emergency, Chronic and Critical Illness Fund
FRA	Full Retrospective Approach
IAS	International Accounting Standards
IFRS	International Financial Reporting Standard
KAFS	Kenbright Actuarial and Financial Services Limited
MRA	Modified Retrospective Approach
NHIF	National Health Insurance Fund
PHCF	Primary Health Care Fund
POMSF	Public Officers Medical Scheme Fund
SHA	Social Health Authority
SHIF	Social Health Insurance Fund
UHC	Universal Health Coverage

1 INTRODUCTION

Background

1.1 The Social Health Authority ("SHA") is a statutory agency established under Section 4 of the Social Health Insurance Act, 2023.

1.2 SHA began its operations on October 1st, 2024, following a transition from the National Health Insurance Fund (NHIF), as shown in the diagram below.



1.3 The Social Health Insurance scheme serves as Kenya's national health insurance framework, primarily funded through citizen contributions and government allocations.

1.4 SHA is mandated to administer 4 key funds:

a. Social Health Insurance Fund (SHIF)

b. Primary Healthcare Fund (PHCF)

c. Emergency, Chronic, and Critical Illness Fund (ECCIF)

d. Public Officers Medical Scheme Fund (POMSF)

1.5 In alignment with the Government of Kenya's strong commitment to Universal Health Coverage ("UHC"), SHA is mandated to facilitate access to affordable medical insurance for all Kenyans.

1.6 SHA intends to make a transition to the IFRS 17 Accounting Standard. This transition will enhance SHA's transparency and comparability in its financial reporting by providing a clearer view of its insurance obligations and performance over time.

1.7 This improved financial clarity will strengthen accountability in the use of public resources and reinforce public confidence in the ongoing UHC reforms. For the Kenyan public, it translates to greater oversight of healthcare financing, supporting the delivery of sustainable and equitable health services.

Purpose

1.8 This policy paper outlines the comprehensive approach and methodology that the Social Health Authority (SHA) will adopt in its transition to IFRS 17 ("The standard") when administering Kenya's health insurance scheme.

1.9 It lays out the transition approach for the implementation of IFRS 17 standard for SHA as it offers a framework for understanding the actions and factors required for a seamless transition from the current accounting standard to IFRS 17.

1.10 Moreover, it serves as a guide for SHA's management, stakeholders, and auditors to ensure compliance with IFRS 17 while addressing the specific challenges and opportunities presented.

Objective

1.11 The objective of this policy paper is to outline the processes and methodologies that will guide the Authority in its transition to IFRS 17.

1.12 These objectives shall establish an efficient structured process that ensures minimal disruptions to SHA's ongoing business operations as it transitions.

1.13 It will also provide a road map for SHA's compliance with the requirements of IFRS 17, thereby enhancing transparency and comparability.

Scope

1.14 This policy will only apply to contracts issued and recognized by SHA as insurance policies. It provides a comprehensive and consistent approach to the IFRS 17 transition across the Authority's entire insurance contracts portfolio.

1.15 With regards to Scope, SHA will implement IFRS 17 in line with the Policy Paper on "Scope".

Approaches

1.16 In its transition to IFRS 17, SHA will adopt the **Full Retrospective Approach** which is the default approach in the IFRS 17 transition for entities having contracts issued prior to the transition date. It is applied as if the Standard had always been in place.

1.17 The Full Retrospective approach requires granular data. In the event that, SHA is unable to provide granular data, IFRS 17 provides two other approaches that can be considered:

a) Fair Value Retrospective Approach; and

b) Modified Retrospective Approach.

2 BACKGROUND OF IFRS 17

2.1 The International Financial Reporting Standards ("IFRS") are issued by the International Accounting Standards Board (IASB). The standards guide companies on how to maintain and report their accounts to ensure consistency among companies and promote transparency and comparability.

2.2 IFRS 17 Insurance Contracts ("IFRS 17") is a new accounting standard that changes the way insurance contracts underwritten are accounted for, and which began from 1st Jan 2023. The new standard replaced IFRS 4 Insurance Contracts.

2.3 The IFRS 17 affects all companies writing insurance contracts mainly insurance and reinsurance companies.

2.4 All insurance contracts are to be recognized, measured and presented and disclosed in accordance with IFRS 17 standard.

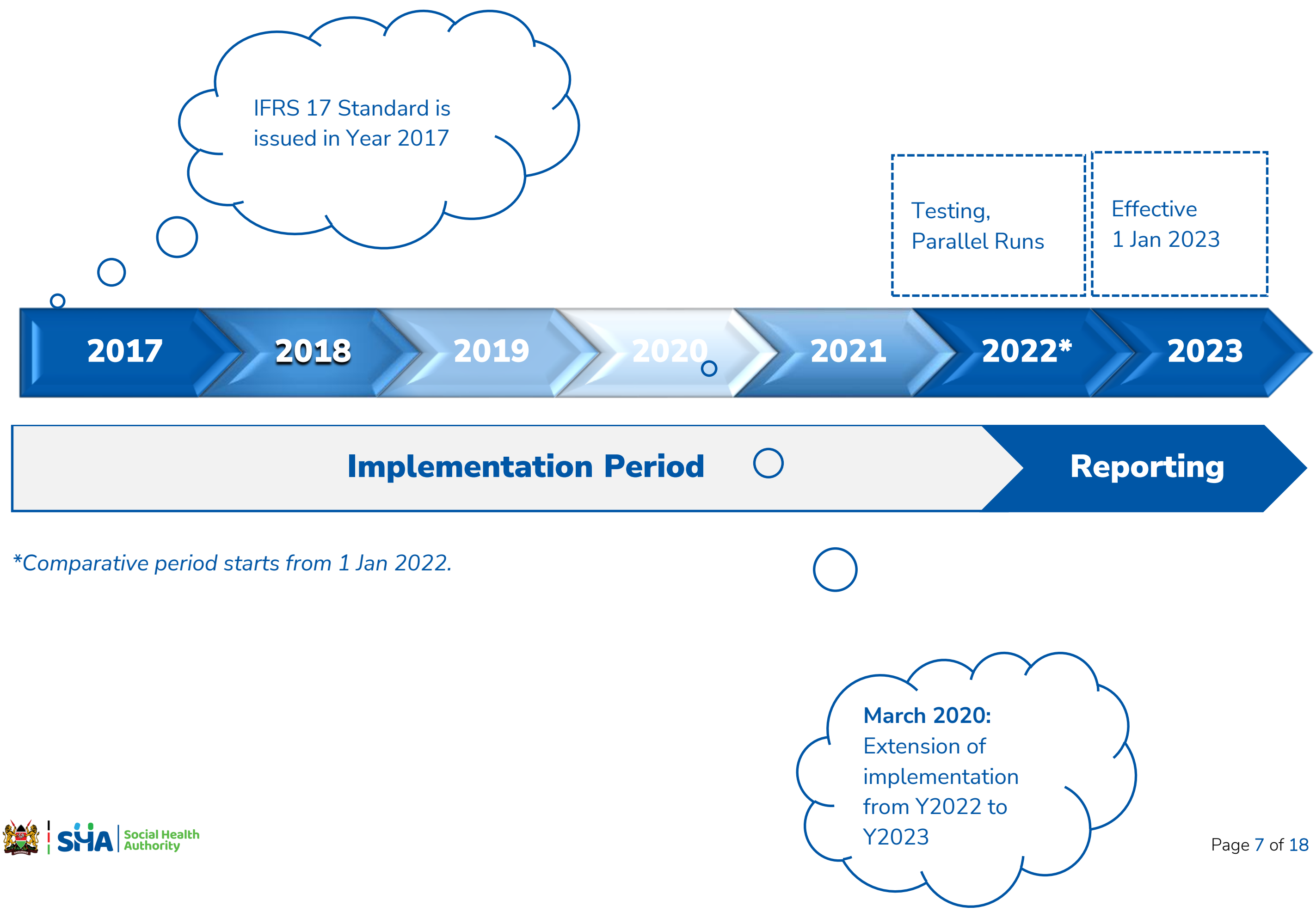
2.5 The Standard applies a current value approach while measuring insurance contracts, using updated estimates and assumptions that reflect the timing and any uncertainty of cash flows, and recognizes profit as services are provided to policyholders, rather than when contributions are received.

2.6 IFRS 17 is intended to remove existing inconsistencies and enable investors, analysts, and other stakeholders to meaningfully compare companies, contracts, and industries.

2.7 In a bid to enhance transparency and consistency in financial reporting, SHA seeks to implement the IFRS 17 Standard.

2.8 SHA will adopt the standard with the transition date being 1st January 2021, initial date of application being 1st January 2022 and the year of first adoption being the year ending 31st December 2023.

IFRS 17 Timeline



Comparative period starts from 1 Jan 2022.

Key Changes

Technical

2.9 **Asset & Liability changes:** Entities underwriting insurance and reinsurance contracts are expected to apply IFRS 9 Financial Instruments ("IFRS 9") and IFRS 17 Insurance Contracts ("IFRS 17") simultaneously starting from 1 Jan 2023.

a) **IFRS 9** deals with classification, measurement, and impairment of financial assets. Under IFRS 9, entities are required to group their financial assets based on how they use them and the kind of payments they make, and they must also estimate possible future losses early instead of waiting for a loss to happen.

b) Under **IFRS 17** insurers are required to measure their insurance liabilities using current estimates of future cash flows, adjusted for risk and the time value of money, to give a clearer and more accurate picture of their financial position.

2.10 **Reinsurance contracts** are expected to be treated as stand-alone contracts independent of the accounting of the underlying insurance contract. This is different from the current "mirroring approach" and it is expected to affect the accounting for short term business.

2.11 There are mainly 2 categories under reinsurance contracts:

a) **Reinsurance contracts issued** – contracts where a reinsurer provides reinsurance to another insurer — these are treated like regular insurance contracts under IFRS 17 because the reinsurer is taking on insurance risk.

b) **Reinsurance contracts held –** contracts that an insurer buys from a reinsurer to protect itself from losses — these are treated differently under IFRS 17, as they represent a form of risk protection and not direct insurance to policyholders.

2.12 **Insurance contracts must be grouped based on their profitability** to ensure clear and transparent reporting. The Standard requires entities to group contracts into the following categories:

a) Profitable contracts – These are contracts where the expected future income (contributions) exceeds the expected future outflows (claims and expenses). They generate a Contractual Service Margin (CSM), representing unearned profit to be recognized over time;

b) Onerous contracts – These are contracts where the expected future outflows are higher than the expected inflows. This results in a loss at initial recognition, which must be recognized immediately in profit or loss; and

c) Contracts with no significant risk of becoming onerous.

2.13 **Offsetting** is not allowed, and each group must be measured and reported separately to provide a fair view of the entity's financial health.

Operational

2.14 **Project Management & IT:** The IFRS 17 key requirements include integration to the General Ledger of the entity.

2.15 **Policy Endorsements:** Any changes to a policy will require the old policy to be derecognised and the amended policy to be recognised as a NEW policy.

2.16 **Amortization of acquisition costs (intermediary commissions)**: Finance and Policy Administration will need to change to accommodate this feature. In line with IFRS 17, acquisition costs must be assessed to determine whether they are directly attributable to a group of insurance contracts or non-attributable.

2.17 **Attributable acquisition costs** are those that are directly related to the successful sale or underwriting of insurance contracts (e.g. intermediary commissions, policy underwriting expenses, medical exam costs). These costs are included in the fulfilment cash flows and are amortized over the coverage period.

2.18 **Non-attributable costs** are indirect or general administrative expenses that cannot be linked to a specific group of contracts (e.g. general marketing, training, or recruitment costs). These are expensed immediately in the profit or loss account.

3 FULL RETROSPECTIVE APPROACH

3.1 The application of the Full Retrospective Approach ("FRA") involves a reassessment of all the existing contracts from the inception, the recalculation of reserves and the adjustment of the comparative figures.

3.2 Paragraph C3 of the standard states that:

> An entity shall apply IFRS 17 retrospectively unless impracticable, except that:
>
> a) An entity is not required to present the quantitative information required by paragraph 28(f) of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors; and
> b) An entity shall not apply the option in paragraph B115 for periods before the date of initial application of IFRS 17.

3.3 NHIF, as the former Health Insurance Authority, maintained data from its inception up to October 2024, when the transition to SHA (Social Health Authority) was effected.

3.4 Following this transition, SHA assumed responsibility for all operations and has been fully operational since that time. The historical data held by NHIF remains a critical resource for informing SHA's current and future planning, monitoring, and evaluation efforts.

3.5 The transition process also involved the migration and integration of legacy data systems to ensure continuity in service delivery and policy implementation.

3.6 These entities, having contracts issued prior to the transition date, will be required to apply the Full Retrospective Approach. This approach requires entities to apply the standard as if the standard had always been in place.

3.7 Under SHA, there are 2 types of contributors:

a) Monthly statutory deductions from salaried employment; and

b) Annual advance contribution from informal employment.

3.8 The availability and reliability of past information/granular data determines whether an entity can apply the standard retrospectively.

3.9 This alongside the availability of data supports the application of the Full Retrospective transition approach using the Premium Allocation Approach method.

3.10 This method gives the most accurate and consistent financial picture, making it easier for stakeholders to understand the Authority's performance.

3.11 SHA will apply IFRS 17 principles retrospectively to all policies that were in force as at end of 2021 to calculate the transition numbers.

3.12 When applying this approach, SHA will ensure that it does not utilize knowledge or understanding that was gained only after the occurrence of events.

3.13 This means that when SHA is reassessing past events or transactions, it will not allow the outcomes or insights that have become apparent since the time of those events to influence its analysis or decisions.

3.14 SHA will recognize and measure all existing contracts as if the standard had always been in place, remove irrelevant existing balances, and reflect the resulting net impact on equity.

3.15 At initial recognition, SHA shall:

a) Revisit its historical financial information; and

b) Group its policies as provided for in the "Level of Aggregation" Policy Paper.

Revisit historical information → Group contracts based on Level of Aggregation Policy Paper

3.16 The Full Retrospective approach looks back to the initial recognition date and calculates the liability as if IFRS 17 had always been in effect on that date.

3.17 SHA shall use the PAA approach to measure its policies. The PAA model will require SHA to base the value of the liability for remaining coverage on the contributions they've received from the underlying policies.

3.18 SHA will apply consistent assumptions when valuing the policies and when calculating the potential liability to maintain uniformity.

3.19 SHA will be required to continuously monitor changes in the insurance service expenses over a policy's duration.

3.20 Additionally, SHA will collect data on changes in assumptions, model adjustments, and risk adjustments from historical valuation files and the Appointed Actuary's Report.

3.21 To figure out how much contribution to recognize as revenue, SHA will assess how insurance coverage is provided over time. Using the Premium Allocation Approach (PAA), revenue is usually recognized evenly throughout the coverage period, overtime.

3.22 However, if claims occur in a different pattern, revenue will be recognized following when those claims are expected to occur. SHA will also keep track of any changes in costs for policies that are expected to make a loss and reduce that loss over time as the changes happen and are recorded.

4 OTHER RETROSPECTIVE APPROACHES

4.1 IFRS 17 provides two (2) additional approaches which should be considered if and only if, the application of the Full Retrospective approach is impracticable:

- Modified Retrospective Approach
- Fair Value Retrospective Approach

Modified Retrospective Approach

4.2 Under IFRS 17, paragraph C6 states that:

> The objective of the modified retrospective approach is to achieve the closest outcome to retrospective application possible using reasonable and supportable information available without undue cost or effort. Accordingly, in applying this approach, an entity shall:
>
> a) use reasonable and supportable information. If the entity cannot obtain reasonable and supportable information necessary to apply the modified retrospective approach, it shall apply the fair value approach.
> b) maximize the use of information that would have been used to apply a Fully Retrospective approach but need only use information available without undue cost or effort.

4.3 If it's not feasible to use the Full Retrospective approach, SHA can use either the Modified Retrospective Approach or the Fair Value Approach.

4.4 The Modified Retrospective Approach includes modifications that could enable SHA to maximize the information it would have used if it were applying IFRS 17 retrospectively, using the allowed adjustments specified.

4.5 The permitted modifications within this approach that would enable SHA to base its risk adjustment or discount rates calculations on the available data at the transition date include:

a) Assessments at inception or initial recognition; and

b) Insurance finance income or expenses.

Fair Value Retrospective Approach

4.6 The fair value approach is a method used when determining the CSM or loss component at transition by using the fair value of the insurance contracts less IFRS 17 Fulfillment Cash Flows (FCF) at the transition date. This is the only approach that can be used where the insurer does not have the cash flow information required to apply the other approaches.

4.7 Paragraph C20 of IFRS 17 states that:

> To apply the fair value approach, an entity shall determine the contractual service margin or loss component of the liability for remaining coverage at the transition date as the difference between the fair value of a group of insurance contracts at that date and the fulfilment cash flows measured at that date. In determining that fair value, an entity shall not apply paragraph 47 of IFRS 13 Fair Value Measurement (relating to demand features).

4.8 The main objective of the Fair Value Retrospective approach is on determining the CSM or loss component where there is insufficient or no historical data on cashflows.

4.9 Hence, where it is impracticable to apply the FRA and the MRA, SHA may implement the fair value approach to calculate the CSM or loss component for its groups of insurance contracts.

4.10 This approach calculates the CSM or loss component by finding the difference between the price a market participant would require at the transition date to take on the unexpired risk in the group of contracts including the required profit and the fulfillment cash flows of the group according to IFRS 17 principles.

4.11 When using the fair value approach, SHA can identify groups of insurance contracts based on reasonable and supportable information available at the transition date. There is no need to split contracts received before the transition date into annual cohorts.

4.12 At the transition date, the fair value approach measures the asset for insurance acquisition cash flows based on the costs the insurer would need to recover from contributions of unrecognized issued contracts, renewals of existing contracts, and future contracts without paying acquisition costs twice.

4.13 SHA will exclude these asset amounts from the measurement of any insurance contract groups recognized at the transition date because they relate to future contract groups.

Key Differences				
Approach	**Determination Basis**	**Required Data**	**Historical Data**	**Application Flexibility**
Full Retrospective Approach (FRA)	Requires complete historical data	Comprehensive historical data for all contracts	Detailed recalculation of historical cash flows	Least flexible and requires full historical information
Modified Retrospective Approach (MRA)	Approximations are based on data available	Some historical data, but with permissions to modify/adjust	Approximations of historical cashflows based on reasonable estimates	Moderately flexible. Uses approximations to achieve similar results as FRA
Fair Value Approach (FVA)	Fair value as of the transition date	Requires market data as at the transition date, rather than historical data	The fair value is based on present market conditions hence no need for historical cash flows	Most flexible, as it focuses on current fair value rather than historical contract performance

4.14 However, as stated in the section on Full Retrospective Approach, SHA will apply the **Full Retrospective Approach** when implementing IFRS 17.

5 DISCLOSURES

5.1 IFRS 17 requires entities to present one year of comparative information. For SHA, the comparative period shall be the year ending 31st December 2022.

5.2 The Standard requires that in presentation of comparative information for earlier periods, the term "beginning of the earliest period presented" be understood as "beginning of the earliest adjusted comparative period presented."

5.3 Therefore, if SHA chooses not to disclose this information, it must state that decision.

5.4 SHA will provide detailed disclosures and comprehensive documentation as per IFRS 17.

5.5 SHA will explain how it determined the measurement of insurance contracts at the transition date for each period, that includes insurance contracts existing at that date.

5.6 Additional disclosures will also be required for groups of insurance contracts where SHA separates insurance finance income or expenses between profit or loss and other comprehensive income.

5.7 SHA must present comparative financial information for the year immediately before applying IFRS 17 (the year ending 31st December 2022) and may adjust earlier periods, making the transition date the start of that adjusted period. Unadjusted comparative information for earlier periods must be clearly identified with an explanation that it was prepared on a different basis.

5.8 In its first annual reporting period under the Standard, SHA will present three statements of comprehensive income and three statements of financial position.

6 RELEVANT IFRS 17 TEXT

Refer to IFRS 17 available online at the address below

https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on

This policy has been adopted and signed by the Board of Management of the Social Health Authority on this ________ day of ______________ 2026.

Name of Chief Executive Officer: ________________________________

Signature: ________________________________

Appointed Actuary: Ezekiel Macharia

Signature: ________________________________

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